The capital adequacy, liquidity, leverage and other regulatory considerations applied to banks need not be applied to non-banks as the risk of run-off on these institutions does not apply.

Currently, RBI is extending more and more of the banking sector regulations to non-banks (finance companies). The non-banks do not have the four privileges of banks: accepting vast deposits resources, especially low cost savings and current account deposits; large capital-raising ability, especially by the public sector banks; being central to the digital payment system as all digital payment transactions have to be routed through bank accounts; and the enormously beneficial privilege of creating credit.

Unavailability of these privileges make non-banks hugely different than banks. RBI, the regulator of banks and non-banks, tend to increasingly treat non-banks as banks. There is a very good case for licencing and regulation of non-banks/ finance companies by a regulator other than RBI.

Develop Private-Sector DFIs As Non-Banks

Private enterprise is the best judge of credit and other risks involved in long-term financing. RBI is too focused on banks and depositors' interest, which is not the case with long-term infrastructure and asset financing.

The government should develop a new regulatory architecture for long-term infrastructure and asset financing. This law should provide for the creation of a new infrastructure and long-term asset regulator. HFCs, infrastructure debt non-finance companies and government-owned infrastructure companies like PFC, REC, IRFC and SIDBI should also be brought under the purview of this regulator.

The new law should help develop long-term corporate bond financing as the principal instrument of raising finance for these private-sector DFIs. The law should also create appropriate credit rating and other arrangements to assess the creditworthiness of these private-sector DFIs and pave the way for the long-term savings institutions of the country (LIC, other life